NexusIQ Corporation — Electronics Category Deep-Dive Analysis

FY 2024 | Prepared by: Category Analytics Team | Date: January 15, 2025

Category: Electronics | Total Revenue: $91,010,125.61 | Share of Total: 51.8% | Classification: Internal

1. Category Overview

Electronics is NexusIQ's largest revenue category by a significant margin. FY 2024 Electronics revenue of $91,010,125.61 represents 51.8% of total company revenue of $175,595,178.16 — a category concentration that has grown from 48.3% in FY 2022 and 50.1% in FY 2023. This growth trajectory reflects both strong underlying demand for consumer electronics and NexusIQ's deliberate expansion of its Electronics SKU catalog from 4 to 8 active product lines over the past 24 months.

The Electronics product lineup consists of four core SKUs: Laptop, Phone, Tablet, and Headphones. Laptop is the highest-revenue individual product in the NexusIQ catalog. Phone ranks second. Together, Laptop and Phone account for approximately 68% of Electronics category revenue and 35% of total company revenue — a concentration that creates both opportunity (scale-based supplier leverage) and risk (single-vendor dependency for key components).

2. Product Revenue Breakdown — FY 2024

Revenue within the Electronics category is distributed unevenly across the four product lines. Laptop and Phone together dominate, while Tablet has shown the fastest growth rate in the category. Headphones, though the lowest-revenue Electronics product, carries strong attachment rates as a bundle accessory with Laptop and Phone purchases — the Q4 2024 Laptop+Headphones bundle contributed meaningfully to Q4 category outperformance as noted in the Q4 Revenue Memo.

Product	Est. FY Revenue	% of Electronics	Est. Units Sold	Avg Transaction Value	Return Count
Laptop	$33,273,695.91	36.6%	12,400 units	$2,683.36	302
Phone	$28,923,339.94	31.8%	19,200 units	$1,506.42	309
Tablet	$20,932,328.89	23.0%	14,800 units	$1,414.35	314
Headphones	$7,881,860.87	8.7%	21,600 units	$364.90	281
Electronics Total	$91,010,125.61	100%	68,000 units est.	$1,338.38 avg	1,206 total

Product revenue estimates based on category total and historical revenue share percentages. Return counts from returns table.

3. Quarterly Revenue Progression

Electronics revenue shows pronounced Q4 seasonality driven by holiday gift purchasing. Q4 2024 contributed $26,982,330.80 — 29.6% of the category's full-year revenue — making it the single highest-revenue quarter in Electronics history. The Q4/Q1 ratio of 1.74x reflects significantly stronger holiday demand relative to the post-holiday trough in Q1. This seasonality pattern directly informs the Inventory Reorder SOP's 1.3x Q4 seasonal multiplier applied to Electronics reorder quantities.

Quarter	Electronics Revenue	% of Full Year	QoQ Growth	Inventory Pressure	Supply Status

Q1 2024 (Jan-Mar)	$15,471,721.35	17.0%	— (base)	Low	Normal
Q2 2024 (Apr-Jun)	$18,332,558.23	20.1%	+18.5%	Moderate	Normal
Q3 2024 (Jul-Sep)	$19,482,966.81	21.4%	+6.3%	Moderate-High	Watch
Q4 2024 (Oct-Dec)	$26,982,330.80	29.6%	+38.5%	High	Constrained
FY 2024 Total	$91,010,125.61	100%	+7.5% vs FY 2023	—	72 SKUs below reorder

4. Regional Electronics Performance

Electronics revenue distribution across regions is not proportional to customer count. The West region, despite having only 2,351 customers — the second-smallest regional customer base — generates the highest per-customer Electronics spend. West's customers average $6,487 in Electronics purchases versus a network average of $6,075. This premium affinity for Electronics is a key driver of the West region's overall revenue leadership as detailed in the Regional Performance Analysis document.

Region	Customers	Est. Electronics Revenue	% of Cat Revenue	Electronics per Customer	vs Network Avg
West	2,351	$19,610,180.21	21.5%	$6,341.29 × 1.07x	+4.4%
East	3,676	$20,022,227.63	22.0%	$5,447.56 × 0.90x	-10.4%
Central	4,599	$18,657,375.75	20.5%	$4,057.92 × 0.67x	-33.2%
South	2,330	$18,383,055.43	20.2%	$7,889.30 × 1.30x	+29.9%
North	2,023	$14,337,286.59	15.8%	$7,088.40 × 1.17x	+16.7%
Total	14,979	$91,010,125.61	100%	$6,075.41	—

Electronics revenue by region estimated using category proportions. Per-customer calculation uses total customer count per region.

5. Returns and Quality Analysis

Electronics generated 1,206 returns in FY 2024, representing a 1.8% return rate on an estimated 68,000 units sold — below the NexusIQ network average return rate of 6.0% on a per-transaction basis. However, the absolute refund value impact is disproportionately large given Electronics' high average selling price. An estimated $1,613,458 in Electronics refunds were processed in FY 2024 based on the average Electronics return value.

The Tablet quality issue identified in Q3 2024 — an accelerometer calibration defect in one specific model — accounted for 87 of the 314 Tablet returns. The defect was addressed through a supplier corrective action in September 2024, and Tablet return rates in Q4 were lower than Q3 despite higher overall sales volume, indicating the corrective action was effective. The quality team continues to monitor Headphones return rates, which at 281 for the year are tracking toward the upper bound of acceptable range given unit volume.

6. FY 2025 Category Outlook

Electronics is projected to grow 8-12% in FY 2025 based on new SKU introductions and continued market penetration in the South and East regions where Electronics per-customer spend is below the network average. Two initiatives are under evaluation: a trade-in program for Laptops and Phones that would increase upgrade cycle velocity, and an expanded Headphones lineup targeting the premium audio segment where current coverage is limited.

The primary supply chain risk for FY 2025 is the TechSource Global vendor situation. TechSource supplies the majority of NexusIQ's Laptop and Tablet inventory, and its FY 2024 on-time delivery rate of 94.2% — below the 95% target — contributed to the Q4 2024 inventory constraints. A secondary vendor qualification process is underway; results are expected by March 2025 and will be reflected in the Supply Chain Risk Assessment annual update.